IN THE SUPERIOR COURT OF JUDICATURE

IN THE COURT OF APPEAL

ACCRA A.D. 2025

CORAM:

JUSTICE KWEKU TAWIAH ACKAH-BOAFO (MR.) JSC

JUSTICE S. ROSETTA BERNASKO ESSAH (MRS.) J.A.

JUSTICE AKROWIAH (MR.) J.A

CIVIL APPEAL NO.:H1/43/2025

DATE: 24th July, 2025

MIKE KOFI AFFLU - PLAINTIFF/APPELLANT

VRS

1. STATE INSURANCE COMPANY LTD - DEFENDANTS/RESPONDENTS
2. FRANKLYN ASAFO ADJEI
3. BENJAMIN ACOLATSE

J U D G M E N T

SOPHIA R. BERNASKO ESSAH (MRS) JA:

This is an appeal lodged by the Plaintiff/Appellant against the judgment of the High Court, which dismissed his claim for defamation and upheld the defence of qualified

privilege raised by the Defendants/Respondents. The Appellant seeks reversal of the trial court's decision on the following grounds:

a. *The judgment is against the weight of evidence.*
b. *The trial judge, failed to appreciate that the nature of the defamatory statements made by the Respondents against the appellant were actionable per se and accordingly erred in failing to make a finding in that regard in his favour.*
c. *The learned trial judge erred in law when she upheld the defence of qualified privilege put up by the Defendant/Respondent having regard to the evidence on record.*
d. *The learned trial judge erred in law when she held that the Plaintiff failed to prove malice against the Defendant/Respondent.*
e. *Learned trial judge erred in law when she held that the words used by the Defendant against the Plaintiff/Appellant as contained in Exhibit C did not diminish his image in the eyes of right-thinking member of society.*
f. *The costs awarded against the Plaintiff/Appellant were excessive.*

In this appeal the parties will be referred to by the designations used at the trial court. The Plaintiff Appellant shall be referred to as the Plaintiff and the Defendant/Respondent the Defendant.

BACKGROUND TO THE APPEAL

The Plaintiff is a chartered accountant and Chief Executive Officer of Messrs Inter-Class & Associates. He was formerly employed by the 1st Defendant, the State Insurance Company, as an accountant in charge of its Ring Road West Office in Accra.

On or about 1st August, 2001, the Plaintiff was interdicted by the 1st Defendant on grounds of alleged financial malfeasance. As a result, he initiated an action in the High Court-differently constituted-challenging the interdiction.

While the suit was pending, the 1st Defendant empaneled a disciplinary committee pursuant to its Conditions of Service to investigate the matter. Acting upon the recommendations of the committee, the Plaintiff was dismissed on 18th March, 2002, on grounds of dishonesty involving fraud. The Plaintiff thereafter amended his writ in the then ongoing litigation to also challenge his dismissal, contending that it was wrongful and unlawful.

Subsequently, on 24th May, 2010, the Commissioner of the Internal Revenue Service (now Ghana Revenue Authority) appointed the Plaintiff's company, Inter-Class & Associates, to conduct a tax audit of the accounts of the 1st Defendant. Upon receipt of the assignment, the Plaintiff and other officers from his firm approached the 1st Defendant to carry out the audit but were allegedly obstructed by the 2nd and 3rd Defendants.

Shortly thereafter, on 27th May, 2010, the Defendants authored a letter to the IRS Commissioner, signed by the 2nd Defendant and copied to the 3rd Defendant, in protest of the appointment. The letter read in part:

"While we appreciate your authority to delegate your responsibility of undertaking tax audits of companies, Mr. Mike Afflu, the Chief Executive Officer of Messrs Inter-Class & Associates, which you have chosen to conduct a special audit of SIC Insurance Company Limited, was a former employee of SIC who was dismissed in 2002 on grounds of dishonesty involving fraud."

In reaction to the above letter the Commissioner of IRS in a letter dated 2nd June 2010, while maintaining that it had the prerogative to choose any company to conduct an audit on its behalf, nonetheless stated that on grounds of customer care it will reassign the audit of Defendant to another company.

The Plaintiff interpreted Defendant's statement *"was dismissed in 2002 on grounds of dishonesty involving fraud."* to mean, and alleged that it would be understood by the

Commissioner and others to mean, that he had been found guilty of dishonesty involving fraud. He asserted that the statement was false, malicious, and deliberately published to injure his reputation before the IRS Commissioner and other recipients of the letter.

He therefore commenced the present action against the Defendants jointly and severally for the following reliefs:

> *a. General damages for defamation arising from the letter to the IRS Commissioner, alleging he was dismissed from the 1st Defendant for dishonesty involving fraud;*
>
> *b. A perpetual injunction restraining the Defendants, their agents, servants, or any other persons from publishing further libelous material concerning him; and*
>
> *c. Costs.*

The Defendants, in their defence, asserted that the letter addressed to the Commissioner of the Internal Revenue Service (IRS) was written in the ordinary course of business, and that its contents were protected by qualified privilege. They contended that the communication was made in good faith, and that the IRS, being a public authority with oversight over tax audits, had a legitimate interest in receiving such information.

The Plaintiff, in reply, alleged that the words published were defamatory, and that the Defendants acted with malice, knowing or having reason to know that he had not been found guilty of any offence of dishonesty involving fraud. He argued that the Defendants disregarded the pending judicial process and published the statement as though guilt had already been judicially established. He further relied on the High Court's judgment of 7th June 2018, which declared his interdiction and dismissal wrongful and unlawful, as retrospective vindication of his position.

The Plaintiff also alleged pecuniary loss, citing his shareholding in the audit firm and the loss of potential contracts. That by reason of the defamatory words published about him he has lost considerable pecuniary rewards as he was a 60% shareholder and director of the said audit company and that any financial gains impacts substantially on him when dividends are declared by the company. Also pursuant to a conversion of his limited liability company to a partnership upon directives of the Institute of Chartered Accounts, Ghana, the company was changed to a partnership in which he owns 90% and his counterpart owns 10% and so he has lost a great deal due to the publication of he said defamatory words about him.

He further contended that in 2010, his company earned as much as GH₵291,266.79 as fees from a special tax audit on GCB and this shows the extent of damage caused to him by the Defendant when he and his company were denied the opportunity to audit the 1st Defendant and other companies that the IRS would have assigned to them to audit but for the publication of the said defamatory words by the Defendant about him. He concluded that the Defendants do not have any reasonable defence to the instant action.

The trial Court found that the defence of qualified Privilege had been successfully made out and the publication of the said words complained about were not actuated by malice. Further the Plaintiff was not entitled to the reliefs sought.

It is against this judgment the Plaintiff herein appeals

Counsel for the Plaintiff has abandoned Relief (a) of the Grounds of Appeal. Same is accordingly struck out.

In respect of **Ground (b)**, the Plaintiff contends that the trial judge erred in law by failing to appreciate that libel is actionable per se, and therefore the Plaintiff was not required to prove special damage. In response, although conceding that once the appellant is able to

state the defamatory words, he is not required to prove damage to be considered legally actionable, Counsel for Defendant contended that the respondent was not precluded from putting up a credible and sufficient defence vindicating the alleged defamatory statement. He urged the court to accept the reasoning and holding of the trial judge that Defendant had a legal, moral or social duty to disclose the dismissal of the appellant and the reasons thereof.

The legal position is well settled. At **common law**, libel is actionable per se, meaning that the mere publication of defamatory matter in a permanent form entitles the Plaintiff to damages, without the necessity of proving actual loss. This principle is grounded in the rationale that serious defamations, those which assail the core attributes of a person's character such as integrity, honour, and professional competence, are unlikely to yield quantifiable damage, yet are presumed to cause reputational harm.

This principle was affirmed in *Youssoupoff v M.G.M. Pictures Ltd* (1934) 50 T.L.R. 581, where Tindal CJ stated:

"*He needs only to lay before the Court words or writing of which he complains and leave the Court to say to what amount of compensation he is entitled from the mere fact that imputations have been made*."

The Supreme Court, in *Duffour v Bank of Ghana & Anor.* (2022) JELR (SC), per Mensa-Bonsu JSC, reiterated:

"*At common law, Libel is actionable per se, because damage is presumed. On account of the presumption, there need be no specific proof of damage. However, any particular damage that has occurred may be put in evidence and the Court would take cognizance of it.*"

This presumption does not however operate in a vacuum. Where the Defendant establishes a privileged occasion, the Plaintiff must go beyond the mere defamatory nature of the words and demonstrate that the publication was actuated by malice, either by showing knowledge of falsity or reckless disregard for the truth. In the instant case, the trial Court found that the Defendants had successfully established an occasion of qualified privilege, and that the Plaintiff failed to discharge the burden of proving malice. In such circumstances, the presumption of damage is displaced, and the Plaintiff cannot rely solely on the actionable-per-se doctrine to obtain relief.

Accordingly, the trial Court's conclusion that the Plaintiff was not entitled to the reliefs sought merely on the ground that the words were of a defamatory nature is legally sound and supported by the evidence. Ground (b) of the appeal therefore fails.

Grounds (c) and **(d)** of the appeal challenge the trial judge's finding that the Defendants successfully established the defence of qualified privilege in their communication to the Commissioner of the Internal Revenue Service (IRS), and that the Plaintiff failed to prove malice.

The doctrine of qualified privilege is well established in defamation law. It arises where, on grounds of public policy and convenience, a person may make a statement that is defamatory and even untrue, without incurring liability, provided the statement is made fairly, honestly, and without malice, and is reasonably warranted by the occasion. As stated in *Gatley on Libel and Slander* (9th Edition, p. 325):

"*These occasions are called occasions of qualified privilege, for the protection which the law, on grounds of public policy affords is not absolute but depends on the honesty of purpose with which the defamatory statement is made.*"

This principle was further expounded in *Toogood v Spyring* (1834) 1 CM & R 181 at 193, where Parke B. stated:

"*In general, an action lies for the malicious publication of statements which are false in fact… unless it is fairly made by a person in the discharge of some public or private duty… In such cases the occasion prevents the inference of malice… and affords a qualified defence depending on the absence of actual malice*."

From the authorities there are some basic principles applicable to the defence of qualified privilege; firstly qualified privilege attaches to the occasion on which a communication was made, not to the communication itself. Second, on an occasion of qualified privilege, one person may defame another without attracting liability for defamation. The law presumes that the defamatory statement was made honestly and in good faith: Said somewhat differently, the legal effect of the defence of qualified privilege is to rebut the inference, one that naturally emerges from the publication of defamatory words, that they were spoken with malice. Third, as the term "qualified privilege" would itself suggest, the privilege is not absolute;
Fourth, qualified privilege may be defeated when the information communicated in the statement is not reasonably appropriate in the context of the circumstances existing on the occasion when the information was given.

Was the statement reasonably warranted by the occasion? The IRS (now GRA) is a public body tasked with performing a statutory function involving auditing the accounts of all public institutions and parastatals, whilst 1st Defendant is a public company partially controlled by the Government of Ghana.

The Plaintiff, a former employee of the 1st Defendant, had been assigned by the IRS to audit the Defendant's accounts. The Terms of Reference issued by the IRS (page 49 of the ROA) explicitly required the Defendant to grant the Plaintiff full access to all records, manual and electronic, for the audit period. It stated:

"By a copy of this letter the MD of SIC and its Associates are being asked to give you full access to all records both manual and electronic in the conduct of the audit for the period." The period was to cover 1st January, 2007 to 31st December, 2009.

Given the sensitivity of the assignment and the Plaintiff's prior dismissal for alleged dishonesty, the Defendant's concern was not only reasonable but necessary.

The Defendant had a direct and legitimate interest in the integrity and impartiality of the audit process. The Commissioner of the IRS, as the appointing authority for the audit, had a corresponding duty and interest in receiving relevant information that could affect the conduct and credibility of the audit. This mutuality of interest satisfies the first category of qualified privilege as stated in *Halsbury's Laws of England* (4th Edition) Reissue vol 28 at para 109:

"*Limited communications between persons having a common and corresponding duty or interest to make and receive the communication*."

This principle of mutuality of interest was affirmed in *Benjamin Duffour v Bank of Ghana & Graphic Communications Group Ltd*, (supra) where the Supreme Court held that qualified privilege arises where the publication is made:

- (a) in the Defendant's own interest;
- (b) in the interest of the recipient;
- (c) in their common interest; or

- (d) in the public interest.

Moreover, the communication was made in response to an official assignment issued by the IRS to the Plaintiff's company. The Defendant's concern, expressed in the letter dated 27th May 2010, was that the Plaintiff, a former employee dismissed for alleged misconduct, was now being appointed to audit the very company from which he had been dismissed. The Defendant's letter stated:

"Mr. Mike Afflu… was a former employee of SIC who was dismissed in 2002 on grounds of dishonesty involving fraud."

This statement, though potentially defamatory, was made in the ordinary course of business, in response to a governmental assignment, and based on internal disciplinary findings. The Defendant did not publish the statement to the public at large, but to a specific authority with a statutory mandate over tax audits. This emphasizes the fact that the communication was reasonably necessary to protect the Defendant's interest and to inform the IRS of potential conflicts.

Furthermore, the Defendant's moral duty to communicate the information is supported by **Stuart v Bell *(1891) 2 QB 341 at 350,*** where Lindley LJ explained:

"I take moral duty to mean a duty recognized by… people of ordinary intelligence and moral principle… Would the great mass of right-minded men in the position of the defendant have considered it their duty under the circumstances to make the communication?"

In this case, the answer is unequivocally in the affirmative. Any responsible company in the position of the 1st Defendant would have considered it a moral, social, and legal duty to inform the IRS of the Plaintiff's prior dismissal and the reasons thereof.

The Plaintiff, during cross-examination, conceded that the 1st Defendant had a duty to inform the Internal Revenue Service (now GRA) of his dismissal and the reasons thereof. This admission, recorded at page 106 of the Record of Appeal, affirms the existence of a reciprocal duty and interest between the Defendant and the GRA.

The reassignment of the audit, as communicated by the IRS in its response dated 2nd June, 2010, was made in furtherance of customer care, not as a repudiation of the Plaintiff's professional competence. This underscores the substantive nature of the Defendant's communication, it was not idle gossip or gratuitous commentary, but a statement made in the ordinary course of business, in pursuit of a legitimate concern.

In my view the statement was germane, relevant, and appropriate to the occasion. The Defendant had a legal, moral, and ethical duty to inform the IRS of the Plaintiff's prior dismissal, particularly given the sensitive nature of the audit and the need for institutional trust. The communication was made to a party with a corresponding interest, thereby satisfying the requirements of qualified privilege.

In the circumstances of this case we are satisfied that the occasion was privileged, the communication was warranted, and the recipient had a legitimate interest therein**.**

However, the invocation of qualified privilege does not end the inquiry. The Plaintiff bears the burden of proving express malice, which, if established, defeats the privilege. The law is clear: where a defamatory statement is made on a privileged occasion, the presumption of malice is rebutted. But if the Plaintiff can show that the Defendant acted with ill will, spite, or an improper motive, the privilege collapses.

As Banks J held in **Smith v Streatfeild *(1913) 3 KB 764 at 769–770***:

"The principle upon which the law of qualified privilege rests is this; that where words are published which are both false and defamatory, the law presumes malice on the part of the person who publishes them. The publication may however take place under circumstances which create a qualified privilege. If so, the presumption of malice is rebutted by the privilege and….. the Plaintiff has to prove express malice on the part of the person responsible for the publication. The effect of proving express malice is sometimes spoken of as defeating the privilege……..Although the occasion remains a privileged occasion the privilege afforded by the occasion ceases to be an effective weapon of defence……qualified privilege is a defence only to the extent that it throws on the Plaintiff the burden of proving express malice. Directly the plaintiff succeeds in doing this the defence vanishes and it becomes immaterial that the publication was on a privileged occasion."

This principle is echoed in **Halsbury's Laws of England *(4th ed., Reissue, para. 149):***

"What is malice? Express or actual malice is ill will or spite towards the appellant or any indirect or improper motive in the respondent's mind which is his sole or dominant motive for publishing the words complained of. This must be distinguished from legal malice or malice in law which means publication without lawful excuse and does not depend upon the respondent's state of mind….. what must ultimately be decided is the respondent's honesty in publishing the words complained of."

And as Lord Campbell CJ stated in **Dickson v Wilton *(1859) 1 F. & E. 419:***

"Any indirect motive other than a sense of duty is what is called malice."

The Plaintiff must therefore establish that the Defendant did not use the occasion honestly for the purpose for which the law grants protection, but was actuated by an indirect motive. The motive becomes crucial: the law does not permit a person to abuse a privileged occasion to indulge in private spite or pursue an ulterior agenda.

In Ghanaian jurisprudence, this position was affirmed in the case of Owusu**-Domena v Amoah *(2015–2016) 1 SCGLR 790,*** wherein the Supreme Court held:

"For his part the Defendant could raise in his defence privilege whether absolute or qualified and/or fair comment. But these defences of qualified privilege and fair comment will be defeated if actual malice is established. Malice in such matters will be said to exist if there is spite or ill will on the part of the defendant or if the court finds indirect and improper motive against the Defendant in publishing the words complained of."

Similarly, in **Mosi v Mobil Oil Ghana Ltd *(1964) GLR 23***, the court emphasized that:

"Where words are published on an occasion of qualified privilege the mere proof that they are untrue is not malice. But proof that the Defendant published the words without an honest belief in their truth is normally conclusive evidence of malice."

And as stated in ***Gatley on Libel and Slander*** **(9th Edition, p. 434):**

"If he publishes untrue defamatory matter recklessly without considering or caring whether it be true or not, he is in this as in other branches of the law treated as if he knew it to be false."

In the present case, the Plaintiff imputes malice based on several factual assertions:

- The Defendants used the phrase *"dismissed on grounds of dishonesty involving fraud"* despite knowing that no court had found the Plaintiff guilty of such conduct.
- The timing of the letter, three days after the Plaintiff's company was resisted from commencing the audit, suggests a retaliatory motive.
- The acrimonious relationship between the parties, coupled with the pending litigation challenging the Plaintiff's dismissal, supports an inference of improper motive.

- The Defendants, being aware of the pending suit, nonetheless relied on the disciplinary report to portray the Plaintiff negatively before the IRS Commissioner.

These facts, if accepted, may support a finding of express malice, thereby defeating the defence of qualified privilege. However, the court must ultimately determine whether the Defendants acted honestly and in good faith, or whether their dominant motive was spiteful, retaliatory, or otherwise improper.

The Defendant's rebuttal to the Plaintiff's allegation of malice is grounded in both procedural fairness and factual justification. The core of the Defendant's argument is that the publication of the impugned words was made in good faith, pursuant to a legal, moral, and social duty, and based on credible institutional findings.

Upon a thorough analysis of the Defendant's response to the allegation of malice, I find no credible basis upon which malice can be inferred.

The publication to the Commissioner Internal Revenue Service was made in reliance on the disciplinary committee report, which formed the basis of the Plaintiff's dismissal. The report stated (reference ROA, p. 40):

> *"the investigation and interviews conducted were supportive of the fact that Mr. Mike Afflu fraudulently faked some invoices receipts and misappropriated funds of the company. All the evidence indicated that Mr. Mike Afflu was dishonest in the performance of his duties by perpetuating fraud on the company which is an offence meriting disciplinary action under "Article 3" of the Conditions of Service for the Senior Staff of the Company.*

From the foregoing the Panel recommends that Mr. Mike Affly should be dismissed in accordance with Article 3 (5) (1) of the Conditions of Service for the Senior Staff of the Company".

Clearly from the above, the phrase "dishonesty involving fraud" was extracted from the disciplinary panel's findings and not invented.

Further the disciplinary process was conducted pursuant to the Conditions of Service applicable to the Plaintiff, and the decision to dismiss him was made in accordance with those provisions.

From the record, the Plaintiff was given the opportunity to defend himself at the disciplinary hearing but declined to attend. Neither the 2nd nor 3rd Defendants were members of the disciplinary committee, nor were they authors of the investigative reports. The 1st Defendant relied on multiple reports, not solely on Exhibit E, which was unsigned and objected to during trial.

One such report was the police investigative report, referenced at page 28 of the Record of Appeal and authored by the Deputy Commissioner of Police. It detailed extensive financial irregularities, serious allegations supported by witness statements and forensic findings and recommended charges of forgery, stealing, and fraud against the Plaintiff. It stated unequivocally:

"*There is enough evidence to warrant charges of forgery of document, stealing and fraudulently causing financial loss to the state against suspects Mike Afflu and Parker."*

This report, coupled with the disciplinary findings, provided the Defendants with a reasonable and honest belief in the truth of the statement communicated to the IRS and further weakens any suggestion of improper motive. In my view, their motive was clearly

aligned with a sense of duty, to protect the integrity of the audit process and to inform the IRS of relevant facts.

The IRS's Response which acknowledged the Defendant's concerns and reassigned the audit in the interest of customer care in my view supports the Defendant's claim that the communication was warranted and not malicious.

That said, it is not the law that an employer must indefinitely suspend disciplinary action pending the outcome of litigation initiated by the employee. Such a proposition would undermine the efficacy of internal governance and render disciplinary procedures impotent. The nature of the employment contract demands that disciplinary mechanisms be exercised promptly and decisively.

That apart the record clearly establishes that the impugned publication was made on **27th May, 2010**, whereas the High Court judgment absolving the Plaintiff was delivered on **7th June, 2018,** a full **eight years later**. It is unreasonable to expect the Defendants to have foreseen the outcome of a pending suit at the time of publication. The Plaintiff's denial of wrongdoing and subsequent judicial vindication in 2018, while relevant to his reputation, does not retroactively establish malice in a publication made in 2010.

Further the Defendant maintained that the publication was made in the honest belief of the disciplinary panel's conclusions. The 2nd Defendant acted in the ordinary course of business, and the decision to retain or reassign the audit was solely within the discretion of the IRS Commissioner.

In light of these facts, the Defendant's conduct does not meet the threshold for **express malice** as defined in *Smith v Streatfeild*,(supra) *Owusu-Domena v Amoah*,(supra) and *Gatley on Libel and Slander*. (supra) There is no evidence of **spite, ill-will, or improper motive**. The publication was made on a **privileged occasion**, and the Plaintiff has not discharged

the burden of proving that the Defendants abused that privilege. I therefore affirm the decision of the trial judge on these grounds of appeal.

GROUND (e):

The Plaintiff/Appellant challenges the trial court's failure to find that the words *"dismissed on grounds of dishonesty involving fraud*," as contained in the Defendants' letter to the IRS Commissioner, were defamatory and diminished his image in the eyes of right-thinking members of society.

The legal test for determining whether a statement is defamatory has been shaped by three influential formulations:

- In *Sim v Stretch* (1936) 52 TLR 699, Lord Atkin proposed the test: Would the words tend to lower the Plaintiff in the estimation of right-thinking members of society generally?
- In *Youssoupoff v Metro-Goldwyn-Mayer* (1934) 50 TLR 581, it was held that defamation may arise where the words tend to cause others to shun or avoid the Plaintiff.
- In *Parmiter v Coupland* (1840) 6 M&W 105, Parke B defined defamation as a publication that exposes a person to hatred, contempt, or ridicule**.**

These tests underscore that whether a statement is defamatory is a question of fact, and the burden lies on the Plaintiff to demonstrate that the words complained of had the effect of diminishing his reputation in the eyes of society.

In the present case, the Plaintiff argues that the impugned words were injurious to his professional standing as a chartered accountant and CEO of Inter-Class & Associates. He

contends that the statement implied he lacked the integrity required to lead an audit of the 1st Defendant's accounts, thereby damaging his reputation.

However, the evidence does not support this assertion. The IRS Commissioner's response dated 2nd June, 2010 clearly states that:

- The appointment of auditors is the **sole prerogative** of the Commissioner General under the GRA Act.
- Inter-Class Associates is a **separate legal entity** from Mr. Afflu.
- The reassignment of the audit was done **exceptionally** and in **furtherance of customer care**, not as a reflection of diminished trust or reputation.

Moreover, the Plaintiff's company was subsequently awarded a significant audit assignment involving Ghana Commercial Bank, and submitted its report and fee request without incident. This demonstrates that the IRS did not perceive the Plaintiff or his company as lacking credibility or integrity.

The Plaintiff has not adduced any evidence of other entities or institutions that shunned or avoided him as a result of the Defendants' letter. The mere fact that the audit assignment was reassigned does not, in itself, establish that the Plaintiff's reputation was lowered in the eyes of right-thinking members of society.

Accordingly, I find that the trial judge's conclusion on this ground was well-founded. The Plaintiff has failed to prove that the words complained of had a defamatory effect under the applicable legal tests. This ground of appeal is therefore misconceived and lacks merit**.**

GROUND (f): COSTS

The Plaintiff/Appellant challenges the quantum of costs awarded by the trial court—GH₵20,000—as excessive, particularly in light of his claim of wrongful dismissal and reputational harm. The Defendant/Respondent, on the other hand, contends that the amount is modest given the duration and scope of the proceedings.

It is well established that the award of costs lies within the discretion of the trial judge, as provided under **Order 74 of the High Court (Civil Procedure) Rules, 2004 (C.I. 47)**. However, this discretion is not unfettered. As held in *Crentsil v Crentsil* [1962] 2 GLR 171 at 175, the appellate court will only interfere with the exercise of discretion in exceptional circumstances, such as where the discretion was exercised on wrong or inadequate materials, or where the award was arbitrary, capricious, or unreasonable.

In *S.C.O.A. Motors v Koranteng* [1967] GLR 263, the Court of Appeal emphasized that costs must be reasonably grounded and not punitive. The purpose of costs, as outlined in **Order 74(3)**, is to compensate for expenses reasonably incurred and court fees paid and to remunerate the lawyer for work done.

Additional factors the court may consider include Amount of expenses and court fees, Length and complexity of proceedings, Conduct of parties and their lawyers, Travel and logistical costs, Any prior cost orders.

In the present case, the trial judge did not provide any reasoning or breakdown for the GH₵20,000 award. The record does not show that parties addressed the Court on costs, nor is there evidence of detailed assessment. The trial lasted approximately seven sittings, involved no witnesses, and was not complex. The Plaintiff testified in person, and the Defendant relied on one representative. The Defendant's legal team filed a defence, pre-trial checklist, witness statement with three exhibits, and a written address. While these

steps reflect diligence, they do not justify a blanket award of GH₵20,000 in the absence of supporting documentation or justification.

From the record, the Defendant's office and legal counsel are both located in Accra, minimizing travel-related expenses. The record does not disclose court fees or lawyer's charges. In light of these considerations, the award appears arbitrary and disproportionate.

Exercising our appellate jurisdiction and guided by the principles of fairness and proportionality, we find it appropriate to reduce the costs awarded from GH₵20,000 to GH₵12,000, which we deem reasonable and just in the circumstances.

In this appeal we have taken heed of our jurisdiction as a rehearing Court as provided in Rule 8(1) of C.I. 19. An appellate Court has a duty to conduct its own independent examination of the Record of Proceedings to determine whether indeed, the appeal should succeed, taking into account the totality of the evidence. The following cases referenced: **Akufo-Addo Vrs. Catherine (1992) 1 GLR 377; Abbey Vrs. Antwi V. (2010) SCGLR 17, 20; Aryeh & Akakpo Vrs. Ayaa Iddrisu (2010) SCGLR 891.**

In so doing, we have been mindful not to interfere with the findings of fact of the trial Court unless it is established with absolute clearness that some blunder or error resulting in a miscarriage of justice, is apparent in the way in which the lower Court dealt with the facts: See **Achoro vrs: Akanfela (1996-97) SCGLR 209.**

We have reheard this appeal guided by these principles and have no hesitation to affirm the decisions of the trial Court save for the award of Costs which we find arbitrary and will thus reduce to GH₵12,000.

The appeal succeeds partially.

By Counsel for Respondents: I pray for costs of GH₵15,000.00.

Counsel for Appellant: We will offer GH₵5,000.00.

Costs of GH₵5,000.00 in favour of the Defendants/Respondents.

SGD.

……..

JUSTICE SOPHIA R. BERNASKO ESSAH

(JUSTICE OF THE COURT OF APPEAL)

I AGREE **SGD.**

JUSTICE KWEKU TAWIAH ACKAAH-BOAFO

(JUSTICE OF THE SUPREME COURT)

I ALSO AGREE **SGD.**

JUSTICE KOFI AKROWIAH

(JUSTICE OF THE COURT OF APPEAL)

COUNSEL:

KWAME ADOBO FOR RESPONDENTS

EVELYN AHINSAH LED BY REXFORD NII NORTEY LOKKO FOR APPELLANT